intended to be a part of a much larger and integrated plan of control devised for what came to be known as the ‘Sterling Area’, co-ordination being exercised by the British Treasury and the Bank of England. The control was administered by the RBI as agent of the Government of India. The relevant notifications were issued by the Government under the Defence of India Rules and the Sea Customs Act, 1878, from time to time. The Foreign Exchange Regulation Act (FERA), however, was passed only in 1947. The bank exercised control through instructions issued to the public and the authorized dealers in foreign exchange and bullion in the form of circulars and public notices.[20]

Throughout the war, exchange control was confined to transactions with non-sterling area countries, the currencies of which, particularly US dollars, had to be conserved for purchases of essential war materials. By the time the war ended, the control mechanism had become fairly well established with many loopholes having been plugged. There was an effective contribution to the war effort by way of the substantial dollar surpluses made over to the sterling area’s dollar pool. The bank also made efforts to segregate India’s contribution to the Empire Dollar Pool with a view to ensuring its ready availability for post-war reconstruction and development. While this was not agreed to, the Government of India succeeded in getting Whitehall to agree to earmark some sterling which would be convertible into dollars for meeting post-war requirements.[21]

After the war, exchange control was not only retained but was made more stringent; indeed, it became a part of the permanent apparatus of planned economic development. Although the scope of the control in India underwent several changes, its basic structure remained what it was during the wartime for a long time to come.

Organizational Improvements

The increase in the complexity and diversity of the problems handled by the bank during the wartime necessitated the collection and study of monetary, financial, banking, and other data on an ever increasing scale. Allied to Deshmukh’s diligence was a profoundly bicameral mind, at once cognitive and organizational. One of his outstanding contributions to the RBI was the